Arjun and his sons exemplify the paradox at the heart of India's labour market: more young people are choosing degrees over traditional trades, only to find that their qualifications do not translate into the jobs or earnings they aspire to. The disconnect is particularly striking in an economy that grew 7.6 per cent in FY26, the fastest pace among major economies, according to the World Bank. Yet the education and skills system is failing to equip enough young Indians for the opportunities that growth is creating. India has 367 million people aged 15-29, a cohort larger than the entire population of the United States. A staggering 198 million, or 54 per cent, of them are outside the labour force, which means they are neither working nor seeking work. Of the remaining 169 million, 17 million are unemployed. Among the 152 million who have jobs, only 18 million, or 11.8 per cent, have regular salaried employment with social security. The remaining 134 million work in the informal sector, in insecure forms of employment that include regular wage work without social security, self-employment, casual labour and platform or gig work, according to an analysis of Periodic Labour Force Survey (PLFS) 2025 by JustJobs Network, an applied research organisation.



"We treat apprenticeship like a job, and that's a mistake. An apprenticeship is a classroom"

MANISH SABHARWAL
Co-founder, TeamLease Services

This is happening even as Indian youth are more educated than ever before. Between 2022 and 2025, the share of young people aged 15-29 with secondary or higher education rose from 56.5 per cent to 62.6 per cent, according to the JustJobs Network analysis. Yet higher levels of education have not necessarily meant better employment outcomes. Only 42.6 per cent of Indian graduates are employable, according to the Graduate Skill Index 2025 by consulting firm Mercer, which assessed nearly one million students. The mismatch is reflected in the unemployment numbers. Youth unemployment stands at 10 per cent, three times the overall unemployment rate. According to the JustJobs Network analysis, it rises to 22.7 per cent among graduates and those with higher qualifications, compared with 8 per cent among those educated up to the secondary level. The numbers add up every year, as 7-8 million youngsters enter the workforce each year.

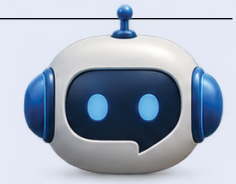
Even when employed, only 8.25 per cent of graduates are in roles aligned with their qualifications, as noted in Economic Survey 2024-25. One reason, as a 2026 NITI Aayog report, 'Reimagining Skilling for Viksit Bharat@2047', points out, is the heavy concentration of students in generic degree programmes with weak links to jobs. Of the 34 million students enrolled in undergraduate courses, 11.3 million are pursuing BA, while combined enrolment in BA, BSc and BCom exceeds 20 million. At the same time, employers across the country are struggling to find people with the right skills. According to ManpowerGroup's 2026 Global Talent Shortage Survey, 82 per cent of employers in India find it difficult to find skilled talent, well above the global average of 72 per cent.

It is a classic case of a labour market failing to connect supply with demand: young people are looking for jobs while industry is looking for talent, yet the two fail to meet because the skills employers need are not the ones the education system is providing. The result is an inefficient labour market.

A PATCHY TALENT PIPELINE

Industry demand exceeds annual talent supply across sectors. The gap is projected to widen by 2031, with the sharpest shortfall in construction and skilled trades

- Estimated student supply (annual)
- Industry hiring need in 2026
- Projected shortfall by 2031



ARTIFICIAL INTELLIGENCE AND DATA
Data scientist, ML/ GenAI engineer, data engineer, data analyst

229,665

100,000
200,000



GLOBAL CAPABILITY CENTRES
Engineering/R&D, analytics, finance & ops, product & cyber roles

90,482

200,000
250,000



CYBER-SECURITY
SOC analyst, security engineer, penetration tester, GRC/ compliance

110,293

40,000
100,000



IT AND SOFTWARE
Software engineer, full-stack developer, QA/test engineer, cloud/ DevOps engineer

51,198

550,000
500,000

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